

MODULE 07

Dynamic Pricing: Lift Revenue Without Pricing Yourself Out

Pricing is a 10-minute-per-day activity that, done well, is the largest single revenue driver for a managed listing. Done poorly, it either leaves money on the table or prices you out of bookings and tanks your review velocity. This module gives you the framework we use across our managed portfolio.

The base price: your starting point

Your base price is the nightly rate you charge when nothing unusual is happening — a Tuesday in February, a Monday in May, a Sunday in October. It should be set by the comp set, not by your gut.

Pull three comparable properties within 5 miles. Same bedroom count, similar amenities (hot tub, pool, fireplace, view, etc.). Note their base price for a weeknight and a weekend night. Set your base price at the median, not the average — the median is what the market actually books against.

Re-pull the comp set every 30 days. As new comps enter or leave the market, your base price shifts. A base price set in March might be 8% out of market by July.

The adjustments: day-of-week, season, lead time

Once your base price is set, you adjust up or down for four variables:

Day of week. Friday and Saturday in most markets carry a 15-30% uplift over the base. Three-night minimums on weekends lock in revenue.

Seasonality. Holiday weekends, school breaks, and local events drive 50-200% uplifts. Build a season calendar before the year starts, then update it as new events are confirmed.

Lead time. Last-minute bookings (under 14 days) typically warrant a discount — same-day can be 30% off. Bookings 60+ days out are typically worth slight premium pricing.

Occupancy. If your calendar is empty 30 days out, lower your price 5-10% across the gap. If you are 80% booked 30 days out, raise the gap 5%.

The pricing software decision

Tools like PriceLabs, Wheelhouse, and Beyond Pricing automate the day-to-day. If you are managing 3+ properties, one of these tools pays for itself within the first month. For 1-2 properties, the cost-benefit is closer to break-even — manual daily pricing is fine if you have the discipline.

Either way, you should still review the recommended price once a week and override when you know something the algorithm doesn't (a major local event, a known construction project down the road). The tool augments your judgment; it does not replace it.

The minimum-night, maximum-night rules

Your minimum-night setting is also a pricing lever. A 2-night minimum captures weekend-only stays that a 3-night minimum would lose. A 4-night minimum pushes mid-week bookings off your calendar.

Default for most urban and cabin properties: 2-night minimum on weekdays, 3-night minimum on weekends. Lifted to 4-7 nights around holidays when every night is bookable.

The cleaning fee decision

Cleaning fees should cover your actual turnover clean cost plus a small margin. Keep them visible — guests filter on cleaning fee as much as on nightly rate. A \$200 cleaning fee on a \$150/night property is a deal-breaker; the same fee on a \$400/night property is fine.

Module 07 — Done. Module 08 covers the monthly statement — the deliverable that keeps owners renewing.